10. Which of the following errors will be rectified using suspense account?
    (a) Purchases returns book was undercast by ₹ 100
    (b) Goods returned by Narendran was not recorded in the books
    (c) Goods returned by Akila ₹ 900 was recorded in the sales returns book as ₹ 90
    (d) A credit sale of goods to Ravivarman was not entered in the sales book.

Answer

1. (c)	2. (a)	3. (c)	4. (b)	5. (b)	6. (b)	7. (b)	8. (c)	9. (b)	10. (a)

II Very short answer questions

1. What is meant by rectification of errors?
2. What is meant by error of principle?
3. What is meant by error of partial omission?
4. What is meant by error of complete omission?
5. What are compensating errors?

III Short answer questions

1. Write a note on error of principle by giving an example.
2. Write a note on suspense account.
3. What are the errors not disclosed by a trial balance?
4. What are the errors disclosed by a trial balance?
5. Write a note on one-sided errors and two sided errors.

IV Exercises

1. State the account/s affected in each of the following errors:
   (a) Goods purchased on credit from Saranya for ₹ 150 was posted to the debit side of her account.
   (b) The total of purchases book ₹ 4,500 was posted twice.

2. Rectify the following errors discovered before the preparation of the trial balance:
   (a) Sales book was undercast by ₹ 100
   (b) Purchases returns book was overcast by ₹ 200

3. Rectify the following errors assuming that the trial balance is yet to be prepared:
   (a) Sales book was undercast by ₹ 400
   (b) Sales returns book was overcast by ₹ 500
   (c) Purchases book was undercast by ₹ 600
   (d) Purchases returns book was overcast by ₹ 700
   (e) Bills receivable book was undercast by ₹ 800

4. Rectify the following errors before preparing trial balance:
   (a) The total of purchases book was carried forward ₹ 90 less.
   (b) The total of purchases book was carried forward ₹ 180 more.
   (c) The total of sales book was carried forward ₹ 270 less.
   (d) The total of sales returns book was carried forward ₹ 360 more.
   (e) The total of purchase returns book was carried forward ₹ 450 less.

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